

2:00 PM

LINE: 10

25-CIV-04197

HAB SIAM VS. BRAD GERSTNER, ET AL

HAB SIAM
BRAD GERSTNER

MATTHEW DITON
ANJALI PRASAD VADILLO

DEFENDANT ALTIMETER CAPITAL MANAGEMENT, LP'S DEMURRER TO FIRST AMENDED COMPLAINT

TENTATIVE RULING:

For the reasons stated below, Defendant Altimeter Capital Management, LP's Demurrer to the First through Fifth, Eighth, and Ninth Causes of Action in Plaintiff Hab Siam's First Amended Complaint is **SUSTAINED WITH LEAVE TO AMEND** as to the Fourth, Eighth, and Ninth Causes of Action and **OVERRULED** as to the First, Second, Third, and Fifth Causes of Action. (Code Civ. Proc., § 430.10, subd. (e).)

FIRST CAUSE OF ACTION — ANTICIPATORY REPUDIATION

A cause of action for anticipatory repudiation requires: (1) a valid contract; (2) the plaintiff's performance up to the time of repudiation, or a valid excuse for nonperformance; (3) the plaintiff's readiness, willingness, and ability to perform; (4) the defendant's unequivocal repudiation before performance was due; and (5) resulting damages. (Civ. Code, § 1440; *Taylor v. Johnston* (1975) 15 Cal.3d 130; *Daum v. Superior Court* (1964) 228 Cal.App.2d 283.)

Altimeter first argues that Plaintiff has not sufficiently alleged the existence of a contract. As discussed below, however, the FAC sufficiently alleges an oral compensation agreement. Altimeter further argues that Plaintiff has not pleaded an unequivocal repudiation.

The FAC alleges that on January 29, 2024, Altimeter provided Plaintiff with a compensation spreadsheet presented as a final "take it or leave it" position and asserted that Plaintiff was entitled to no more than \$4,562,113 in vested fund profits. (FAC, ¶¶ 96–99.) Taken together, these allegations sufficiently plead, for purposes of demurrer, an unequivocal repudiation of the alleged compensation agreement.

The Demurrer to the First Cause of Action is **OVERRULED**.

SECOND CAUSE OF ACTION — BREACH OF ORAL CONTRACT

The elements of a claim for breach of oral contract are the same as those for breach of a written contract: existence of a contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and resulting damages. (*Stockton Mortgage, Inc. v. Tope* (2014) 233 Cal.App.4th 437, 453.)

Definiteness

To be enforceable, contractual terms must be sufficiently definite to permit the Court to determine the scope of the parties' obligations, whether a breach occurred, and an appropriate remedy. (*Weddington Productions, Inc. v. Flick*(1998) 60 Cal.App.4th 793, 811; *Ladas v. California State Automobile Assn.* (1993) 19 Cal.App.4th 761, 770.)

The FAC alleges that Altimeter guaranteed Plaintiff minimum total compensation of \$45 million for 2021 through 2025, including an annual salary of \$1.5 million, with the remainder to be paid through profit-sharing distributions and other compensation. (FAC, ¶¶ 28–34.) Although the allegations concerning the precise sources of the nonsalary compensation are less definite, the alleged minimum compensation obligation is sufficiently definite at the pleading stage to permit determination of breach and a remedy.

The Demurrer on this ground is **OVERRULED**.

STATUTE OF FRAUDS

Altimeter contends that the alleged oral agreement is barred by Civil Code section 1624, subdivision (a)(1). The one-year provision applies only where, by the terms of the agreement, performance cannot possibly be completed within one year. (*Abeyta v. Superior Court* (1993) 17 Cal.App.4th 1037, 1042; *White Lighting Co. v. Wolfson* (1968) 68 Cal.2d 336, 343.)

On the face of the FAC, Altimeter has not established as a matter of law that the alleged agreement was incapable of performance within one year. The statute-of-frauds defense therefore does not provide a basis for sustaining the Demurrer at the pleading stage.

The Demurrer on this ground is **OVERRULED**.

ILLUSORINESS

Altimeter argues that the alleged agreement is illusory because Plaintiff allegedly could terminate his employment at any time yet still claim entitlement to the guaranteed compensation. A contract is illusory where one party retains an unfettered or arbitrary right to modify or terminate the agreement or otherwise assumes no obligation. (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 385.)

The FAC alleges that Plaintiff remained employed by Altimeter and continued providing services after the alleged compensation agreement was made. On the face of the pleading, the agreement therefore does not fail for lack of consideration or constitute an illusory promise as a matter of law.

The Demurrer on this ground is **OVERRULED**.

STATUTE OF LIMITATIONS

Altimeter argues that the two-year statute of limitations under Code of Civil Procedure section 339, subdivision (1), bars the claim because the alleged agreement was breached in December 2020. The FAC, however, alleges that the operative repudiation occurred on January 29, 2024, and this action was filed on

June 2, 2025, within the two-year limitations period. Nothing on the face of the FAC establishes that Plaintiff's claim accrued in 2020.

The Demurrer on this ground is **OVERRULED**.

Accordingly, the Demurrer to the Second Cause of Action is **OVERRULED**.

THIRD CAUSE OF ACTION — PROMISSORY ESTOPPEL

Promissory estoppel requires a clear and unambiguous promise, reasonable and foreseeable reliance, substantial detriment, and resulting injury. (*Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 416–417.)

Altimeter argues that the alleged promise is too indefinite and that Plaintiff's reliance is pleaded only in conclusory terms. The FAC, however, alleges an oral promise to provide Plaintiff minimum total compensation of \$45 million for 2021 through 2025. (FAC, ¶ 110.) At the pleading stage, that alleged promise is sufficiently definite to support a promissory-estoppel theory. (See *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 780.)

The Demurrer to the Third Cause of Action is **OVERRULED**.

FOURTH CAUSE OF ACTION — QUANTUM MERUIT

Quantum meruit requires allegations that the plaintiff rendered services at the defendant's request, the services were intended to and did benefit the defendant, and the reasonable value of those services remains unpaid. (*Pacific Bay Recovery, Inc. v. California Physicians' Service, Inc.* (2017) 12 Cal.App.5th 200.)

A quasi-contract claim ordinarily cannot be maintained where an enforceable agreement governs the same compensation. (*Hedging Concepts, Inc. v. First Alliance Mortgage Co.* (1996) 41 Cal.App.4th 1410, 1419.) Although alternative pleading is permitted, the quasi-contract theory must actually be pleaded as an alternative to the asserted contract. (*Klein v. Chevron U.S.A., Inc.* (2012) 202 Cal.App.4th 1342, 1389–1390.)

Here, Plaintiff affirmatively alleges the existence and enforceability of the 2020 Compensation Agreement and seeks the same compensation through quantum meruit. The Fourth Cause of Action does not adequately plead that theory in the alternative.

The Demurrer to the Fourth Cause of Action is **SUSTAINED WITH LEAVE TO AMEND**.

FIFTH CAUSE OF ACTION — PROMISSORY FRAUD

Promissory fraud is a subspecies of fraud based upon a promise made without any intention of performing it. (Civ. Code, § 1710, subd. (4).) Fraud must generally be pleaded with specificity, including facts showing how, when, where, to whom, and by what means the representation was made. (*Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1059–1060.)

Altimeter argues that Plaintiff alleges only subsequent nonperformance, which standing alone is insufficient to establish fraudulent intent. (*Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 30.) At the pleading stage, however, intent not to perform may be alleged generally. (*Beckwith*, supra, 205 Cal.App.4th at p. 1060.)

The FAC alleges that in December 2020, Gerstner, acting on behalf of Altimeter, orally represented that Plaintiff would receive minimum compensation of \$45 million for 2021 through 2025 and alleges that the promise was made without an intention to perform. (FAC, ¶ 122.) Reading the pleading as a whole, the allegations sufficiently identify who made the representation, on whose behalf it was made, when it was made, its substance, and the alleged fraudulent intent.

The Demurrer to the Fifth Cause of Action is **OVERRULED**.

EIGHTH CAUSE OF ACTION — FAILURE TO PAY WAGES OWED AT TERMINATION

Labor Code sections 201, 202, and 203 govern payment of earned wages upon termination or resignation. “Wages” include amounts owed for labor performed and may include incentive compensation such as bonuses and profit-sharing benefits. (Lab. Code, § 200, subd. (a); *Schachter v. Citigroup, Inc.* (2009) 47 Cal.4th 610, 617.) Whether incentive compensation has been earned, however, depends upon the terms governing entitlement to that compensation. (*Id.* at p. 621.)

Plaintiff alleges that the disputed compensation included profit-sharing interests and other nonsalary compensation. The FAC, however, does not sufficiently allege facts establishing that the particular profit-sharing or incentive compensation sought in this cause of action had been fully earned and was due and payable at the time Plaintiff’s employment ended. The allegations concerning the alleged guaranteed minimum compensation do not, without further factual allegations concerning the terms governing vesting or entitlement, establish that the disputed amounts constituted earned wages payable upon termination.

The Demurrer to the Eighth Cause of Action is **SUSTAINED WITH LEAVE TO AMEND**.

NINTH CAUSE OF ACTION — VIOLATION OF THE UNFAIR COMPETITION LAW

The Unfair Competition Law prohibits unlawful, unfair, or fraudulent business acts or practices. (Bus. & Prof. Code, § 17200.) A private plaintiff must also allege injury in fact and loss of money or property as a result of the alleged unfair competition. (*Id.*, § 17204.)

As pleaded, the Ninth Cause of Action is predicated upon Plaintiff’s alleged wage violation under Labor Code section 202. Because the FAC does not presently state facts sufficient to support the underlying wage claim, the derivative UCL claim is likewise insufficient.

The Demurrer to the Ninth Cause of Action is **SUSTAINED WITH LEAVE TO AMEND**.

Plaintiff may file and serve a Second Amended Complaint within **10 days after service of written notice of the Court’s order**.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Defendant shall prepare a written order consistent with the Court’s ruling for the Court’s signature pursuant to California

Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court. The Court directs the parties to San Mateo County Superior Court Local Rule 3.403(b)(iv) regarding the wording of proposed orders.

2:00 PM

LINE: 11

25-CIV-08970

JOHN DOE VS. MARINA ALLEN, ET AL

**JOHN DOE
MARINA ALLEN**

**LAUREL MOUSSEAU
CONNOR M DAY**

PLAINTIFF JOHN DOE’S MOTION FOR LEAVE TO FILE FIRST AMENDED COMPLAINT

TENTATIVE RULING:

For the following reasons, Plaintiff John Doe’s Motion for Leave to File a First Amended Complaint is **GRANTED** as to the proposed amended pleading attached to the Supplemental Declaration of Laurel Mousseau filed September 2, 2026.

The Court may, in furtherance of justice and upon such terms as may be proper, allow amendment of a pleading. (Code Civ. Proc., §§ 473, subd. (a)(1), 576.) California follows a policy of great liberality in allowing amendments to pleadings so that cases may be decided on their merits, provided the amendment does not prejudice the substantial rights of the opposing party. (*Board of Trustees of Leland Stanford Junior University v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.)

California Rules of Court, rule 3.1324 sets forth the procedural requirements for a motion for leave to amend, including the contents of the motion and supporting declaration. Plaintiff did not file a separate noticed motion following the Court’s order shortening time, apparently relying on the ex parte application, supporting declaration, proposed pleading, and the Court’s order setting the present hearing. Defendants nevertheless received notice, filed a substantive opposition, and do not contend that the absence of a separately filed notice of motion impaired their ability to oppose the requested amendment. Under these circumstances, the Court declines to deny leave based solely on that procedural irregularity.

Trial has not been set. Defendants principally contend that Plaintiff’s proposed PAGA amendments are legally insufficient and would cause unnecessary prejudice and additional discovery. In reply, however, Plaintiff submitted a revised proposed First Amended Complaint that omits the PAGA claim under Labor Code section 202, omits the challenged representative meal- and rest-period claims, omits the PAGA allegations against RxAccess LLC, and more specifically alleges the basis for PAGA and Labor Code section 558.1 liability against Defendant Marina Allen individually. These revisions substantially address the objections raised in Defendants’ opposition and correspond to the limitations Defendants alternatively requested.

No sufficient prejudice from permitting the revised amendment has been demonstrated, particularly where no trial date has been set. To the extent Defendants continue to challenge the legal sufficiency of the amended allegations, those issues are more appropriately addressed through a demurrer, motion for